

# TAXATION

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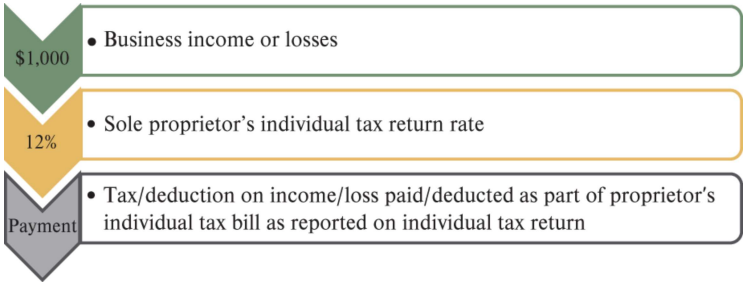
**LO 27-4**

Explain how proprietorships are managed and taxed.

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A sole proprietorship is not subject to corporate income taxation, and no tax return is filed on behalf of the business. Rather, the principal reports business income and expenses on their own individual tax return and pays taxes on business income (or deducts business losses) based on their own individual tax rate. [Figure 27.2](#) illustrates how a sole proprietor in the 12 percent bracket is taxed on business income.

**FIGURE 27.2** How a Sole Proprietorship Is Taxed



## Management and Organization

It is important to note that although most sole proprietorships are relatively small in terms of assets and revenues, they are not restricted in terms of the number of employees and can operate in as many locations as the principal desires. The proprietor has sole discretion and authority to bind the business or make any business decisions. Of course, sole proprietorships have no oversight committees (such as a board of directors) and do not require any agreements among principals. Sole proprietorships may also be converted to another form of entity at the proprietor's will.